

July FOMC Recap-More Bark Than Bite?

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Stubbornly high inflation, a string of hawkish statements from several prominent Federal Reserve (Fed) officials and limited insight into Fed Chair Kevin Warsh's own reaction function left markets unusually divided ahead of today's Federal Open Market Committee (FOMC) interest-rate decision. Despite futures markets assigning a roughly 30% chance of a hike, the Committee today voted to keep policy rates on hold and provided minimal changes to the prepared statement. Unlike June's unanimous decision to hold, today's vote resulted in a 9-3 split, with regional bank presidents Beth Hammack, Neel Kashkari and Lorie Logan dissenting in favor of a 25-basis-point rate increase.

Markets initially took the decision in stride, with front-end bond yields predictably retracing some of the embedded rate-hike premium. But as the subsequent press conference unfolded, the long end came under significant pressure as the market started to question whether Warsh's commitment to "price stability" might be more bark than bite.

Warsh opened the press conference with prepared remarks that described the economy as "showing impressive resilience" and noted that since the June FOMC meeting, rates were "materially higher" across the yield curve. Echoing recent public comments, he went out of his way to highlight a "new chapter" being written at the Fed-one that includes minimal forward guidance, a rejection of "inertial" thinking and an unabashed commitment to "asking the right questions" as they relate to long-held assumptions of traditional monetary policy. He went on to outline several questions that served as the basis for today's "vigorous discussions," but stopped short of offering any meaningful conclusions.

One theme that re-emerged in today's press conference was the idea that supply shocks remain a complicating factor in determining true "underlying inflation dynamics." As it relates to AI, Fed Chair Warsh sounded a lot like Fed Chair Candidate Warsh, emphasizing the unprecedented scale of AI investment and its potential to generate meaningful supply-side gains. That framing stoked previously held market fears that expected productivity gains might ultimately be cited as justification for easier policy. While Warsh reaffirmed the Fed's 2.0% Personal Consumption Expenditures (PCE) inflation target, he also left the door open to potential changes when the Fed reviews its Longer-Run Goals and Monetary Policy Strategy in January. Any changes, he suggested, would depend on the findings of the various task forces currently underway and, ultimately, the Committee's assessment of those findings.

Regarding his own reaction function, Warsh again offered very few clues about his assessment of the current stance of policy and the conditions that might cause him to conclude that rate hikes are necessary. He went on to say that despite the Fed's decision to hold, financial conditions have materially tightened in response to incoming economic data and that he and the Committee find value in that signal.

Despite prominent voices arguing for a rate hike at today's meeting, the broader Committee opted to wait until at least September before making its next policy move. By then, it will have the benefit of two additional inflation reports that will play an outsized role in shaping the hold-or-hike debate. While we don't anticipate inflation fully returning to the Fed's 2.0% target by year-end (or even by the end of 2027), we believe a disinflationary path broadly consistent with the Fed's most recent projections is achievable and would be sufficient to keep policy rates unchanged through the remainder of 2026. That said, the bar for hikes remains low. Inflation risk premium has declined with lower oil prices, and we continue to favor holding intermediate inflation protection as a reasonably priced hedge to our base case.

Follow Nicholas J. Mastroianni, CFA

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